

Table 40.9 Busted Patterns

Description	Bull Market	Bear Market
Busted patterns count	112 or 12%	43 or 16%
Single bust count	64 or 57%	34 or 79%
Double bust count	31 or 28%	8 or 19%
Triple+ bust count	17 or 15%	1 or 2%
Performance for all busted patterns	−14%	−21%
Single busted performance	−21%	−24%
Non-busted performance (complex head-and-shoulders tops)	−17%	−23%

Busted occurrence. I sorted busted patterns into their types: single, double, and more than two busts (triple+). Most of the patterns will single bust with double busts placing second. That may sound obvious and logical, but I've seen a number of chart patterns with triple+ placing second.

Busted and non-busted performance. I compare the performance of busted patterns with complex head-and-shoulders *tops* as a proxy for non-busted complex bottoms. Single busted patterns outperform the others I tested. The catch to this is that you have to be lucky enough to trade a single busted pattern and not some other type (double or triple+).

Trading Tactics

Table 40.10 shows trading tactics.

Measure rule, targets. The measure rule sets a target for price to reach and is best explained by an example. [Figure 41.5](#) shows a complex head-and-shoulders bottom on the weekly scale with the head reaching a low of 13.50. Directly above that point, the neckline has a value of 18.63. The difference, 5.13, is the formation height. Add the difference to the breakout price (17) to get the target (22.13).